Mohnish Pabrai's Sessions at the University of Nebraska Omaha on May 2, 2025, and Heilbrunn Center for Graham and Dodd Investing on March 25, 2025

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Jane Liu: Good morning, everyone, and welcome to the University of Nebraska Omaha College of Business. I am Jane Liu from the Economics Department. We are honored to host Mohnish Pabrai, an internationally respected investor and thought leader. Please join me in welcoming our Dean of the College of Business, Dr. Steve Shultz.

Dr. Shultz: Thank you, Dr. Liu. I want to thank everybody who is here today.

Jane Liu: Thank you, Dean Shultz. It is now my privilege to introduce our key speaker, Mohnish Pabrai. Many of you know him as a renowned value investor and the founder of Pabrai Investment Funds. Please join me in welcoming Mohnish Pabrai.

Mohnish: Thank you. It is a pleasure to be here, and thank you to the university for hosting us. I am always very happy to be on the campus. It is a wonderful business school and campus. This time, we had set up a live stream, and they ran out of our licenses for the live stream. Then they were gracious enough to increase those. We have about a thousand people joining us online, which is wonderful. The best way for me to learn is to teach. I have an ulterior motive for doing this, which is that I am just trying to teach myself, so you guys are along for the ride, which is just fine. The talk I am giving today is new.

You only need to get rich once, you do not need to get rich multiple times. I just wanted to remind myself of that. I will go through a few slides, and then I am more interested in what you guys want to talk about, whether it is part of what I talked about or something else.

Some of you might know that in the late 1960s and early 70s, there was the concept of the Nifty 50, which is different from the Nifty 50 that exists in India right now. The idea was that you bought 50 of these blue chip stocks in equal denominations, 2% each. You did not care about valuations or anything. You just bought these dominant businesses and then set them and forget them. It was supposed to do extremely well. It took off. Nifty 50 became extremely popular. Then we had the big downturn in 1973 and 74, which was a big crash in slow motion. Over two years, markets were down more than 50%. The Nifty 50 got taken out back and shot. By the time we got around to 1975, nobody was

invested in the Nifty 50. That was kind of over. There is some controversy, whether Walmart was part of the Nifty 50 or not. Walmart went public in 1970. To make my talk more interesting, I am going to assume that Walmart was part of the Nifty 50. If you think about Walmart being part of the Nifty 50 and being 2% of the Nifty 50, then if you had invested a hundred dollars, $2 would have been invested in Walmart. The Nifty 50 had many stocks that went to zero, like Xerox, Polaroid, Kodak, a whole bunch of companies that were high flyers that eventually went nowhere. But if we make an extreme assumption, 49 of the 50 stocks went to zero. Let us say everything except Walmart disappears to nothing, even though there were companies like Coca-Cola, American Express, ADP, a lot of very strong businesses that are with us even today. But if we just assume everything is gone, the 2% left in the Nifty 50 blew out the S&P 500 over the last 55 years. The S&P did very well; it is around a 320X since then. It is up to 32,000. But Walmart alone at the $2 blows out the S&P, and it is around a 64,000 X return effect if you will. There are several lessons here in the sense that we know that there are power laws in investing, and we know that most stock market returns come from a sliver of a few small businesses. It is important to be in those businesses for the long term.

If we just switch gears a little bit and we look at Berkshire Hathaway, (which is why we are here this weekend; this is the 60th anniversary of Berkshire), two years back in the annual letter to shareholders, Warren said, “In 58 years of Berkshire management, most of my capital allocation decisions have been no better than, so-so. Our satisfactory results have been the result of about a dozen truly good decisions that would be one every five years.”

If we look at Berkshire in terms of the last 60 years, and we try to examine how many important decisions Warren has made in the last six decades, we know they bought more than 80 businesses, and they have invested in 300 or 400 stocks. Then, key hires by Buffett would probably be more than 10, but let us say here at least 10 key hires. In reality, he probably had 400 or 500 important decisions that he made over the last six decades. The hit rate for someone like Warren would have been 2 to 4%. In other words, 2 to 4% of the decisions that he made have led to all of our interest in Berkshire. The remaining 96 or 98% did not matter, just like the Nifty 50, where the 98% did not matter. It was just a 2% that moved the needle. I do not know whether these are the 12 decisions he was talking about. I took a stab at it. I know that Ajit Jain is one of the 12. Charlie used to talk about how the best return Berkshire ever got on any investment was the search fee they paid on hiring Ajit Jain. Ajit alone has created north of a hundred billion in value for Berkshire from scratch. See’s Candies, Coke, Apple, National Indemnity, and Mid-American would be in there. It has been just a few decisions that have led to this outcome. It was not the decision to buy them that was important. The important thing about the 12 decisions was that the decision was to hold them. The whole decision was more important than the buy decision. It is the same thing with Walmart. Walmart being part of

the Nifty 50 was not that important. It was not doing anything with it for a long time, which was very critical.

My friend Nick Sleep in the UK with his partner in crime, Qais Zakaria, ran the Nomad Fund from 2001 to 2013. They had compounded at 18+ percent a year over that period. They had about $3 billion in management when they decided to return everyone's money and close the funds. They did that because Amazon was a bet they had made earlier, and it had become a large portion of the fund because it had appreciated so much. The UK regulator was giving them a lot of grief about the lack of diversification and the high degree of risk with so much in one position, which, of course, they did not agree with. I am estimating that they probably had a net worth at that time of about 400 million (about 200 million each), and they probably looked at each other and just said, "We never expected to be this wealthy. Why do we need to manage anyone else's money? If we have just managed our own money, no one can tell us what to allocate." They decided to return everyone's capital. Nick wrote to his investors a letter saying, "I am taking my money and I am putting one third into Berkshire, one third into Costco, and one third into Amazon. You can do the same, and you do not need to pay us any fees. At least for 10 years, you do not need to do anything with it. You can just keep it that way." I got a panicked call from a large university endowment in the US who have received that letter. They said, "Oh, Mohnish, did you see that Nick is shutting down his fund and returning our money? It is terrible." I said, "Yes, but he told you what to do, and now you can do that without paying any fees to anyone." He then tells me, "Yes, but we are not allowed to buy stocks directly ourselves." I said, "Do you want me to set up a fund and buy those three stocks? I can set up a two-and-20 structure, and then everything will be okay." He said, "Yes, that would work." That is just the way the world works.

Audience: Did you do that?

Mohnish: I did not do that. I do not know if I would be able to sleep at night, but it is just the weirdness of the way the world works. But Nick put one-third of his money in these three stocks. Amazon kept going up after that. It became 70 80% of the portfolio, and he was concerned. He decided to cut the Amazon stake in half, and he put that in what I consider a loser company, ASOS. It is a company in the UK that used to be run by a guy who was the former head of Amazon in the UK. ASOS did not go anywhere; it did not do anything. We know that is going to happen because we know the hit rates are so small. If Nick had done nothing at all, his portfolio today would be about 1.7 billion. Even with the ASOS misstep, it is 1.4 billion. If he had just put in the S&P, it would be less than 800 million. It worked out extremely well for Nick, even with the adventures with ASOS.

The other thing is that Nick pretty much trounced everyone after 2014 while doing no work. He likes to race on racetracks. He has a few cars, and he likes to go bike riding across China. He has a lot of different eclectic activities and

hobbies, and he fully pursued those while the portfolio kept doing its thing and worked out just fine. I do not think he has had any regrets about any of it.

Then you look at me. That is why I am giving this talk: to educate myself. In 2014, we owned about 14 million shares of Fiat Chrysler. Within that, 14 million shares were 90% of Ferrari. When Fiat Chrysler spun out Ferrari, they gave all the shareholders one share of Ferrari for every 10 shares of Fiat Chrysler. At that time, Pabrai Investment Funds owned around 0.7% of Ferrari; two-thirds of 1%, approximately. In my infinite wisdom, I thought Ferrari was too expensive, overvalued, and they were IPOing it. The whole adventure with Fiat Christ and Ferrari was very profitable for Pabrai Investment Funds. We invested about 70 million, and we collected about 260 million. Out of that 260 million, a hundred million came from Ferrari. But if I just kept Ferrari, that alone would be about 640 million now, and it is not the only one. There is a long list of these. There's a shipping company, Frontline, that I had put 10% of the portfolio on. We got a double, and then it went up 350 X. We had a few of these bloopers along the way. I try to understand how to avoid these things. The first thing is that great investment ideas are very rare. If God, also known as Mr. Buffett, finds 12 of them in 60 years, then what hope is there for the rest of us? One of the first things I realized was that it is dumb to sell a business purely because it is overvalued. The reason that is dumb is that we do not know whether a business is overvalued or not. We are trying to figure it out, but we may not understand the business well enough to know whether it is overvalued or not. What I find interesting about Nick Sleep's example is because he was going to go on autopilot to the portfolio, if you think of his portfolio when you are rich and you want to stay rich, and I am sure there was a consideration Nick had, when you look at the three bets he made, which was Amazon, Costco, and Berkshire, I would say that the most resilient of the three in my way of thinking would be Berkshire just because it is so diversified. Warren and Charlie focused on downside protection and all of that. The other two bets are also extremely good. They are very good businesses. We have not seen any decline in any of these three businesses in the last 10 years. I would be surprised if we see declines in these businesses in the next 10 or 20 years. All three bets are extremely good. But Berkshire is especially interesting because it is almost like an index in the sense that it is very diversified; lots of different income streams. One can take a lot of comfort in that situation. The other thing is that when you think about Nick's situation, let us say for example, the one third allocations become 80% Amazon and 10% Berkshire, 10% Costco, which is approximately where he was, at that point, it still should not have mattered to him because the 10% of the pie that is in Berkshire would still be more money than he could use in a lifetime. Once you are rich, the concept of optimizing after you are rich is likely to hurt more than help. Because there was the anchor of Berkshire, one could, in effect, let it ride.

I will give you another example which will maybe illustrate this point. We talked about Walmart and the Walton family. Sam Walton had transferred ownership

of Walmart to his kids when Walmart was a very small private company. When he passed away, there was no estate tax because the shares were already owned by the next generation. The Walton family today, 55 years after the IPO and 33 years after Sam Walton's passing, still owns 46% of Walmart. It has not changed that much from the time of the IPO. In 55 years of being a public company, the Waltons would have been approached by a lot of helpers. We have a lot of helpers around, and the helpers would have come up with all kinds of diversification schemes and whatever else for them. They, for whatever reason, decided that they do not need helpers; they are good. They kept it. This approach that the Walton family took is somewhat risky compared to the approach that Nick Sleep took in the sense that Nick had the Berkshire Hathaway anchor. Walmart is a single company. It is a retailer, one of the most competitive in the different industry codes. But they understood some things about Walmart, and they said, "Okay, we can put all eggs in one basket and go for it." They are the richest family in America now.

I mentioned already that you do not sell a business because it is overvalued. In late 99, early 2000, Microsoft's valuation went crazy. It was one of the three most valuable businesses on the planet, 600 billion market cap against single-digit billion cash flows. It was incredibly overvalued at that time. I used to think at that time (around 2000) that it was dumb to own Microsoft because it was so overvalued. That was correct because for the next 15 years, the returns were zero. When Microsoft went public, Bill Gates owned 45% of Microsoft. Do you know how much he owns today? It is less than 1%. No one knows Microsoft better than Bill Gates. In many ways, my middle name is Forrest Gump. In 1995, 30 years ago, I was running an IT system integrator that I had founded in Chicago, and we were a Microsoft solution provider. Bill Gates was coming into town, and they had invited some of us solution providers to have lunch with Bill. I said, "Okay, where do I sign?" There were about 10 of us, and we had a nice lunch with Bill Gates. I asked him about what he thought the durability of Microsoft was. I asked him where he thought the company might be in 10, 20, and 30 years. He was extremely bearish. He told me that almost all dominant businesses go into decline. The likely end result is that Microsoft will go into decline. When Bill became extremely wealthy, he started a program of automatic selling of Microsoft stock so that no matter whether he knew the information or not, he could continue selling. They kept selling and buying a diversified set of other businesses. Those have done reasonably well, but they have not done as well as Microsoft has done. Then we have Steve Ballmer. When I bring up Steve Ballmer to some of the professional fund managers, they do not have pleasant things to say about him. It is not his fault. He gets an overvalued stock, and then what is he going to do? Microsoft's cash flows went up a lot, but it was facing a big headwind.

When Steve first joined Microsoft, he dropped out of Stanford Business School, and Bill Gates convinced him to come on board at Microsoft. The deal he had was a $50,000 base salary and 10% of all incremental profits generated by the

company after that. In a few years, the 10% of profits was a massive number. Bill sat down with Steve and said, "This is not sustainable. We cannot do this. We have to cut a different deal." The deal they cut was that he would no longer get a percentage of profits, and he would get 8% of Microsoft. That is what happened. He was given 8% of Microsoft. Ballmer, even though he is sitting with Bill, and even though I am sure they had the same discussion about the durability of the Microsoft franchise, he never sells any shares. Microsoft issued a lot of stock for stock options and all that. Ballmer's stake in Microsoft today is 4%; it is more than four times what Bill's is. Now, he is wealthier than Bill. A hired gun is wealthier than the founder. What I find interesting about Ballmer is that he made the best decisions of all these guys. He made better decisions than Nick Sleep. He made better decisions than the Walton family. He made better decisions than Bill Gates. What he did was collect about a billion plus in dividends every year, just coming in. Those have gone into the S&P 500 index. Ballmer now has about 25 billion or something sitting in the S&P, and he has 120, 130 billion sitting in Microsoft. Whatever you think happens to Microsoft, even if the S&P is overvalued, tens of billions are still going to be there. It takes away all the concern he might have about going to the poor house or becoming not wealthy again, or any of that. He could let it ride because he has the anchor of the S&P. Then, what happens after that was a total outlay where he brings in Satya, and of course, Satya hits it out of the park. It has been great, but it is interesting to see Microsoft in the context of these different leaders and different owners and how they dealt with their stake.

If you look at Coca-Cola, which is a large position for Berkshire, it went through the same situation; it went through 12 years of no returns. If you go back and look at the transcripts of the discussions Warren and Charlie had, especially what Warren was saying about Coke in the late nineties as the PE was rising, he just felt with an impregnable moat; it was the ultimate. A few years later, I was surprised he said that it might have been better to sell because, again, Coke was sitting at such a euphoric valuation that, as the business continued to do well, just like Microsoft, we went through 12 years. But again, going back to the maxim of not selling a business, when it is overvalued in the longer fullness of time, it still works out okay. In the longer fullness of time, Berkshire has still done perfectly fine. Even though they suffered through those 12 years with Coke and such. Those were some of the thoughts I wanted to share with you. I wanted to share because I wanted to hear them myself and try to understand a few things about the way the world works. Thank you so much. We can now move to your questions.

Jane Liu: Thank you, Mohnish, for such an insightful and thought-provoking presentation. Next, I will do a 30-minute interview with Mohnish, followed by a 30-minute Q&A session. Mohnish is here for the third time at UNO. We have been starting this since 2022, and over the years we have gotten bigger and have a bigger audience. This year, we have all of you guys here, and also a thousand people online. I guess most of you here are investors. I am sure many

of you follow Mohnish on Twitter. Many of you identify yourself as a value investor. We will start with questions about value investing and investment philosophy. In your book, Mohnish, you emphasized the power of a low-risk, high-return strategy. How has that approach evolved over time, especially in today's fast-moving and tech-saturated markets?

Mohnish: That is a good question. Because there are 50,000 stocks or so around the world, there are large numbers of them that are mispriced at any given time. They can be mispriced as being too cheap or too expensive. If we focus on the ones that are mispriced on the right side of the scale, then that is what makes this interesting because we get a free lunch, where we can, once in a while, get a chance to make investments and buy assets well below what they are worth. Usually, we are not able to do this if markets are not auction-driven. We are looking at negotiated transactions and things like that, so you do not have as much of an opportunity. But auction-driven markets tend to overshoot and undershoot a lot, so we can take advantage.

Jane Liu: Yes, nice. You have championed the idea of a rigorous investment checklist. What are a few items that remain critical for you today? Can you share how this framework has helped you avoid major mistakes?

Mohnish: Yes, the checklist is a very useful tool, and it has helped us in aviation a lot, where air travel has become extremely safe, mainly because of the use of checklists by pilots before they take off and before they land. I had applied the same concept. The aviation checklist came about from examining failures. When a plane crashed, the FAA would always go in and try to figure out why the crash happened. Then the FAA takes a pragmatic view of reality. They have a definition of what a human life is worth. I have not kept up, but it used to be around $10 million a few years back. When they see a plane crash and they see that so many lives were lost, they try to figure out that if nothing is done, how many lives will be lost over the next 5, 10, 20 years. Then they multiply it by that 10 million number, and they now know, for example, “Okay, we would have a $4 billion loss in dollar terms if we did nothing.” Then they would look and ask, “If we ask industry to make changes to aircraft design or whatever else, what is the cost of that?” They will only make those changes if the cost is less than 4 billion. It is a very pragmatic approach because you do not want air travel to be so expensive that we cannot get on an airplane, and you do not want it to be planes crashing all the time, because that also does not work. They have chosen this middle path, which has worked well. I did the same thing when I developed the pre-investment checklist. I looked at the great minds of investing who had had investments they made that did not work, but the reason why the investment would not work may have been obvious before the investment was made. For example, Berkshire is buying Dexter shoes. The concept that low-cost foreign manufacturing may impact the moat should have been visible to Warren and Charlie. It was not that hard to think about that. Then I would add that as a question to the checklist as whether this product was manufactured in another country, could that affect the moat? Could that affect the

profitability? I looked at many investments that had failed by great minds, and then I re-categorized them into different buckets. It was interesting because the number one reason for business failure was leverage. The single greatest reason why investments failed was that the businesses were leveraged. The second reason why the investments did not work was a misunderstanding of the nature of the moat. There were other issues, trade unions and different things, but these were the two big ones; either the moat was not properly understood, or the leverage was what did the company in.

Jane Liu: My next question is about staying within the circle. The circle of competence is a core principle in your investing style. How do you define that circle today, and what practices helped you stay within it, especially as new industries and trends emerge?

Mohnish: The circle of competence is a wonderful tool that Graham, Buffett, and Munger have emphasized for a long time. There are a few interesting things about the circle of competence. The first is, if you ask the question, if something is within your circle of competence or not, you have already answered it. To ask the question is to answer it. The fact that you are questioning that is that there is something in my circle of competence means it is not in your circle of competence. The second issue with the circle of competence is that we do not pay much of a penalty if we have a very narrow circle of competence. People are always trying to broaden their circle of competence, but quite frankly, you could always have a narrow circle of competence and do extremely well. The most important part of the circle of competence is not the size of the circle; it is staying in the epicenter of the circle. If we look at most entrepreneurs, they have a very narrow circle of competence. They are an inch wide and a mile deep, and if they were not that way, they would not be able to build successful companies. Most entrepreneurs do not know a lot about many things, but they can do extremely well because they know a lot about what they are focused on, and that works out well. Staying within the circle, being in the center, it is a natural process in investing that over a lifetime, the circle will expand. If you are reading, thinking, and experiencing different things over time, you will understand more things about how the world works, and so the circle will expand. We do not need to have some deliberate endeavor to expand the circle. It will expand naturally. We also need to be very clear on saying “no” very quickly when something is outside a circle. It is a big exercise in humility. Buffett has this too-hard pile box on his desk. It is a physical box that says “too hard.” He says that 99% of stuff should go into it. Most things that we encounter from my investing perspective should go into the too-hard pile. They should be outside the circle of competence, and we should not be trying to figure everything out.

Jane Liu: Great. Our next set of questions is about global markets and the macroeconomic forces. You have invested in countries like India and South Korea. What makes emerging markets attractive to you, and what unique challenges or risks do you watch out for now?

Mohnish: We made several investments in South Korea. None of them worked. Thankfully, in most cases, we got most of our money back. We had a similar situation in India; most of the things I did in India did not work. A few things worked, but most did not. It goes back to the same issue of the 4% hit rate Warren Buffett has, or the Nifty 50. In investing, we are doing well if our error rate is 50%. John Templeton says, "The best investment analyst is going to be wrong one out of three times." Most of us are going to be wrong, more than one out of three times, maybe even half the time or more. It is not to say that you cannot do well in South Korea or India. I could not do well there and found other places where we could do well.

Jane Liu: The next question is about volatility as a long-term advantage. You said volatility is the friend of a long-term investor. Could you expand on how you have used the volatility as an opportunity, especially during the times of panic or uncertainty, and maybe the past few weeks?

Mohnish: If we look at stocks as businesses that have an intrinsic value, whatever causes that value to go down is an advantage for us long term if it is within the circle of competence. Volatility is always our friend. The reason why we are all interested in auction-driven markets is that they will undershoot and overshoot. Some news comes out, and Coke will go down in price. Did their long-term cash flows go down from some particular news? When you try to overlay news events that are moving markets, and then you overlay them on a particular business, you may find that the correlation is very weak. When you find those weak correlations, that usually is a sign that there could be an opportunity there, in the sense that something is being mispriced, then.

Jane Liu: The next question is about macro and the micros striking a balance. How do you balance macroeconomic forces like inflation, trade wars, and global instability with deep company-level research? Have recent global events changed your weight of macro in your decision-making?

Mohnish: For most investments that we would make, the micro would trump the macro. For most companies, the internal decisions that they are making and their competitors are making are going to drive most of the outcome. Usually, it is hard enough to try to figure out what a business is going to look like five or 10 years from now just by looking at those factors; the internal and market forces around that business. If we start to try to overlay macro things on top of that, we are going to get lost for the most part, because I do not think it becomes very hard to handicap. We want to try to look at things where the thesis is very simple and well understood from an internal perspective.

If you look at a company like Saudi Aramco, it is now publicly traded. The market cap used to be 3 trillion when Saudi Aramco produced oil. Their cost used to be around $2 a barrel to bring the oil up. Now, it might be around 10 bucks a barrel. It is an insanely profitable company in almost any environment. Does it matter if you are a Saudi Aramco investor now? Investing in Saudi

Aramco has issues because the state takes a lot of the upside, but if it was just a normal business where you have a $10 an hour and a barrel cost of bringing oil up, how does it matter whether the oil price is 30, 50, 70, a 100, 150 or 300 in all those price environments? You would make money. The only question us you would whether you would make a lot of money or a little money? But you would make money. If you were buying Saudi Aramco stock, where the thesis would work for you in terms of returns and cash flows, if the oil price was more than 30, for example, you could ignore the macro. You could ignore everything because it is unlikely that oil would go below 30. 80% of production would be shut down globally if that happened. We are unlikely to get there. We want to look at bets like that where we can focus on the micro situation within the company.

If I look at a business like Ferrari, for example, they have a car that they sell for 2 million. Ferrari will announce a car for 2 or $3 million, and they have a list of owners of Ferraris around the world ordered by the number of Ferraris they own. Some have 50, some have 30, etc. They go down the list from their most preferred customer to the least preferred. They will just make calls to the top 500 customers saying, "We are coming out with this car in 18 months. It is 3 million. Do you want it?" The first 500 calls they make, they will all say "yes," because they all know that one day, after they get the car, they could flip it for 6 million. But they also know that if they flip it for 6 million, Ferrari will not call them the next time. Those cars are gone before they are produced. Ferrari's cost on that two or $3 million car is around 85% margins, maybe 90% margins. How do tariffs affect Ferrari? It is not relevant to the whole scheme of things because, mostly, Ferrari buyers are rich men, and they have very few ways to express their wealth. That is all you need to understand. You understand Saudi Aramco, you understand Ferrari, who cares about the tariffs?

Jane Liu: Moving to the next part is a wisdom from Buffett, Munger, and the cloning mindset. You have often credited Warren Buffett and Charlie Munger as guiding lights. What are some of the most enduring lessons you have applied from them in your own investing journey?

Mohnish: Like I said, my middle name is Forrest Gump, and we are not supposed to be able to touch these guys. They both became friends because I am Forrest Gump. I got to see them up close. I got to see Charlie more up close than Warren. But it was not necessary to see them up close. The body of work they have produced is so awesome. The best things about both of them have nothing to do with investing; they have to do with leading a great life. I used to meet Charlie four or five times a year for dinner at his place. Whenever I would meet Charlie for dinner, he was always sitting in the same chair, always reading something. I learned a lot from those dinners, not because of what he said. I just observed the way he was interacting with his grandkids, daughter-in-law, sons, his daughters, manservant, or other visitors. I observed how he was living his life; his habits with eating and dessert, and things. Observing him, in a way, taught me a lot. For all of us, both of these guys put so much in the public

domain. We have so much to learn from them from that. If we learn only the investing side, we miss most of it.

Jane Liu: I will ask one last question, and then it is your turn. The last one is more personal. When we recently chatted, you mentioned your golf game and how you approach it with the same intensity and presence as investing, doing everything with a hundred percent. How has that mindset influenced the way you make decisions, not just in business, but in life?

Mohnish: I am a new golfer. I do not have too many regrets in life, but one of my regrets in life is that I should have started in my thirties. That would have been better. But the way I am programmed is that I usually go all in. If I get excited about something, I go all in. I have always found that if you go all in on something, you are going to get good at it. We should think about what we are passionate about, what we are excited about, and try to overdose on those. I got interested in golf. I found that it is a way more complicated game than I thought. It is way more interesting. My club is nine minutes away. I was reading a quote the other day, "The more you mess with your portfolio, the lower your returns." I said, "Okay, everything I own, I do not need to do anything with it," especially when you look at the talk today. We just need one hit, and we are good. The investments are in good shape. I still spend time looking at things, but I do not need to. If we find no new ideas for the next five or 10 years, it is okay. Not a big deal. I said, "Okay, we will go deeper into golf," and that is what we are doing. It is fun.

Jane Liu: Cool. Now we will start our Q&A session.

Speaker 1: Thank you, Mohnish and Jane. This was a very inspiring presentation. I want to roll back a little bit, and have Mohnish elaborate a little bit on how we find all those critical decisions like the good business or the long lasting mediocre business because I remember in your YouTube channel, you mentioned once that when Warren Buffett was young, he used to pick up old betting tickets at the racetrack and check if any were winners that people throw away by mistake. It seems that Warren Buffett already had this kind of talent when he was young, but for other investors, how do we find our opportunities? I also want to know, in this AI era, do you have other ways to find your options? Thank you.

Mohnish: That is a great question. It is a question that Warren was asked at an annual meeting, and his answer was to start with the "As." What he was saying is that there is no shortcut. When he was collecting those racetrack tickets from the ground, maybe only one in 200 tickets was useful. 199 are loser tickets. But he did not mind going through 200 tickets to find one. Later, when he was going through the *Moody's Manuals*, he did the same thing. *Moody's Manual* is very fine print; the font size might be six or something, and it is 1500 pages. There are six or seven of them. He went through all those manuals several times, and again, he was doing the same thing as he was doing on the racetrack. He was

going through them one by one. One direct example I can give you is that a few years back, Buffett made the Japan bets; the five conglomerates of Japan that he bought. He has been a reader of the *Japan Company Handbook* for many years. *Japan Company Handbook*, probably more than 10, 15 years old, is like *Value Line* for Japan. It is in English and has two companies per page. It is very similar to the *Moody's Manual*. I remember that I was visiting his office in 2012, and I saw the *Japan Company Handbook* on his desk. I was going through the handbook at the same time. I said, "Warren, there are some companies I already know are good in there that you can take a look at." Without waiting for him to answer, I took his book and dog-eared some pages. I went ahead and took the liberty of dog-earing Warren Buffett's copy of the handbook. I told him a lot of the stuff is at the back of the book. He said, "Yes, all the good stuff is usually at the back." I had then found that you could do the same thing as flipping through the *Japan Company Handbook,* one page at a time, with *Capital IQ*. *Capital IQ* is a subscription for around $10,000. The handbook is 50 or 100 bucks. But with *Capital IQ*, you could set up any screen, and in two minutes, you get a condensed version. I tried to convince him, and I worked with Tracy Britt to switch from the handbook to *Capital IQ.* =Tracy told me, "He will never spend the 10,000. He will never do it this way." I said, "But Tracy, I want you to know it so you can do it for him." I trained Tracy on how to use *Capital IQ* to do that. After training, she said, "I know how to do this. He is not going to be interested." At the end of the day, what ended up happening is Warren stuck to his old method, no AI, no nothing, no technology, flipping one page at a time. He found those five bets. I did not find them. It took him more than 10 years to find those bets. But in investing, we have infinite time. Those five Japanese bets are pure genius because of the way he did those bets. First of all, he found these companies that have an 8% dividend yield. At the time he finds them, he borrows the whole thing in yen at half a percent. He never puts up any of Berkshire's capital, even though they are drowning in cash; a seven-and-a-half percent instant yield delta of no money that he has put up. Then all those stocks double, the dividends doubled. Now he has around 16%, coming on the half percent, and then they have gone beyond that. He was forced to do five because of the size of Berkshire. If it were smaller, he would have picked one and gone for that one. I learned a lot of lessons from that. First, I learned that "less is more." The second lesson I learned is "fast is slow."

I have a friend from China who is the founder of Oppo and Vivo. His name is Duan Yongping. All the Chinese people here know him. He plays more golf than me. Oppo and Vivo are both private companies. He lives in San Francisco. Every year, he goes to meet his management team running these dominant businesses in China. He tells me that there is a big conference table with all his managers. He says, "I am there for 10 minutes and then I am done for a year. I will meet them after a year for 10 minutes. The last time I met them, I only said three words, and I walked out." I said, "What were the three words you told them?" He said, I gave them these three words, and then a year later they tripled the profits." I said, "What were the three words, Ping?" He said, "Fast is

slow." If you want to email Ping, his email ID is fast is slow@yahoo.com. Do not inundate his inbox. Has anyone seen the movie *Being There*? It is before your time. Go back and see the movie called *Being There* with Peter Sellers, and then you will understand where this is going. Ping said, "After I left the room, they spent two months trying to figure out what those three words meant. They finally figured it out, and they killed the competition." Fast is slow. Warren did the same thing.

Speaker 2: Thank you for inviting us here today. I wanted to ask a question in terms of your thoughts. Last year, when we were at the meeting, it had just been announced that Warren had reduced his Apple position. At that time, if I am not mistaken, it was about a 10% reduction in his total stake in holdings. At the beginning of the shareholder meeting, he implied some tax-favored consequences as to the reason why he was doing that. The stake had grown to 186 to $190 billion. He has reduced his stake by two-thirds. I wanted to get your thoughts as to what you think and what the reasons may be. How do you view that reduction in that position, considering how publicly he has adored and admired Apple as a core holding in his portfolio?

Mohnish: Well, that is why he is Warren Buffett. Look how awesome that decision looks now. Berkshire is sitting on a huge pile of cash, where a lot of things have been brought down in price. The Apple situation is interesting because he is in effect destroying one of his best-loved ideas, which he wants to hold forever. At the same time, he alluded to the fact that tax rates could be higher, but he might have also alluded to the fact that "Is it fully priced or do I want to have more firepower for things that may come up in the future?" I do not know exactly what his thinking was, but I would say so far that thinking seems fantastic.

Speaker 3: Thank you, Mohnish Pabrai. I appreciate your time. This has been fantastic. I am a shameless copier of you, more so than Warren Buffett and Charlie Munger in aggregate. The one thing I quote a lot is "Heads I win; tails I do not lose much." Specifically, I am looking at the economic moats. When I am looking at economic moats, I am looking at the company I am looking at, and then all the competitors, and how they are going to encroach on these moats. But I have been right and occasionally wrong. How do you see economic moats and, more importantly, the durability specifically with the company you are looking at and the competitors who want to encroach? Thank you.

Mohnish: That is a good question. It is hard to answer in generality, but I would just say that when I am looking at a business, if I cannot get to very high conviction and I cannot get to the point where I could describe it to a 10-year-old in about four sentences, then I am usually not interested. At the end of the day, the thesis needs to be very simple, and it needs to be a very impregnable one. Even when we have a simple, impregnable thesis, we are still going to have a higher error rate, but it is going to be even higher if we do not have that. I always want any business I invest in, I should be able to, in my head, know very quickly why that investment makes all the sense in the world and why it is going to work. Most

companies do not lend themselves to that type of clarity, but we do not need to invest in most companies. Once in a while, you can find something that is a simple situation and that can work.

Speaker 4: Hi, Mr. Pabrai. Thanks for having us here. It is a pleasure being here. This is a question about debt, as everyone knows Berkshire Hathaway has grown throughout the last few decades without debt. Warren Buffett, in one of his letters, said, "Debt creates unnecessary stress for shareholders." But as we all know, in the early days of the Buffett Partnership, he did use debt. When he applied his cigar butt investing strategy, as he shifted to buying great companies, he started to stay away from debt. What are your thoughts on that? Because the argument there, from what I understand, is that debt creates volatility in stock prices and in company performance. But if investors of Berkshire are long-term investors, does that matter anyway?

Mohnish: That is a great question. Many of you probably listen to the *Founder's* podcast. I like that podcast, and I overdose on it. One of his episodes is on IKEA and its founder. IKEA is a private company, and the founder of IKEA was hell-bent on never having any debt. When he looked at the business, he looked at it with a lens of IKEA being around 500 years from now, a thousand years from now. He looked way past his lifetime, and he tried to instill a bunch of principles into the company. For example, one of his principles is that any store they open should not look like all the previous stores. It has to have some innovation that was not there in the previous stores. While we think of retailers as cookie-cutter going through, he is looking at every store becoming better than the previous one. When I studied the checklist, the number one reason for business failure is debt. Warren and Charlie have said that they could have generated higher returns for Berkshire without even taking that much leverage, with some leverage, and it would not have moved them that much over the risk curve, but they did not want to go there. They wanted to have this Fort Knox absolute engine. It is a very good idea for a company like Berkshire to be conservative. They effectively have leverage through insurance float. It is quite benign from that perspective, but it has helped them a lot. Not going down the path of having leverage is a very good thing for all of our shareholders. It is wonderful.

Speaker 5: Thanks for hosting us. When it comes to investing, I always have this question that all these mega companies (like the Magnificent Seven companies) have a massive growth in terms of revenues. Yesterday, there were Amazon's earnings, and they are planning to do like 1 trillion in revenue by 2029. I always have this thought, do you think we will see a time in the future, where this company will continue to expand to a point where we will see that they will rival national power? Or will the government try to stop them from growing this big?

Mohnish: I would say that there's always an entrepreneur somewhere who is going to one-up the dominant player. Is that your question?

Speaker 5: Amazon, for example, is doing close to 600 billion in revenue. Let us say I am thinking of investing in the company, but I always have this thought that they will keep on growing like this.

Mohnish: In capitalism, we have created destruction. Even for a dominant company like Amazon, there are a lot of things they cannot do. They will fail at a lot of opportunities outside of that. I am not concerned with that. The nature of capitalism would keep them on their toes, even though they get dominance, and they get some deep and wide moats in some areas. It is okay. No problem.

Speaker 6: Thank you, Mr. Pabrai. Thank you for your great talk. I came from South Korea, and I am an undergraduate student. I am a big fan of investment gurus like Buffett, Munger, you, and Nomad Investments, but I am also a passionate scientist in immunology. My concern is that many emerging industries today, such as drug development or deep tech, involve long timelines, heavy regulation, and binary outcomes. My question is, how can we apply the lessons from value investments like expanding moat or qualities to the rising industries like new drug, innovative drug development, or deep tech companies?

Mohnish: Industries with rapid change are the enemy of the investor. In general, one of the things we look for when we are trying to get into value investing and so on is that we need to have some idea of what the future cash flows are, and then we can discount those back. As you get more into tech-centered or innovative businesses, that becomes difficult. One of the most brilliant things that Nick Sleep and Qais Zakaria did was that when they went to their office, they would spend the whole day reading. They would read annual reports. Qais did not have a desk to work on. He has a lazy boy chair. He would just sit in that chair all day reading. They sat and read hundreds and hundreds of annual reports. Of course, when they came to the Amazon annual report, it jumped out at them.

One of the things about Amazon for the longest period was that there was no cash flow. It was reporting losses for a long time. The adjustment both these guys had made is that they were able to figure out effectively how much was being pumped into growth versus the existing business. There was a somewhat a leap of faith that what Bezos was putting into growth was, in aggregate, going to produce very high returns. They were able to apply value principles to a business like Amazon, with spectacular results eventually. It can be done if you understand the way the mousetrap works. One of the critical things about Jeff Bezos was that he made many bets, but they were all small. He threw a lot of stuff against the wall. He assumed that if those bets did not work, it would not matter because the few that did work, the returns were so much higher. AWS is a good example of something they stumbled onto that they had never planned on. One of the things about Amazon is that a trademark of their approach is that they convert cost line items into new businesses. For example, we have UPS and FedEx. We do not yet have Amazon providing parcel services where I can go and just have Amazon deliver something to my aunt, for example. But they could enter that business now because they have everything

in place to enter that business. My prediction would be that they will enter that business. My prediction also would be that if they enter that business, their cost structure would be much lower than UPS or FedEx. They would create havoc for them. They are already creating havoc for them. The Amazon analysis that Qais and Nick did was not a cash-flow analysis. What they were doing was they said, "This is a very smart guy. He is a fanatic. He is very efficient in how capital is used, and he is going to have some of these that are going to work, and those are going to be extreme outlier returns." It worked, and Amazon is still doing that. From that point of view, it is exceptional. Bottom line is that yes, you can do it, but you can do it in a very small sliver of companies like that.

Chloe: Thank you so much, Mohnish and Jane, for organizing this for us. We appreciate it. I am Chloe from Singapore. In one of the YouTube videos, you mentioned that index investing is probably 4 to 6% ahead. Correct me if I am wrong, but what is your take on this for long-term investment, especially since Buffett has already laid out his will that 90% of his money for his wife will go into a low-cost index fund. What is your take on that? Thank you.

Mohnish: If you go back and look at the presentation I made, when you are very rich, you do not need to optimize. An investment in the S&P may not be the best investment, but it does not need to be. The important thing is that 500 companies cannot sink at the same time. These are 500 dominant companies. What he is looking for her to have is not to have any issues with cash or cash flow, or anything, for the rest of her life. That is easily going to be accomplished by doing the S&P 500. He also does not want her to be involved with buying or selling Berkshire or any of that; he just keeps it separate and simple. It is a very sound decision for the same reasons that Steve Ballmer's investment in the S&P 500 is, because, like I said, it gives him the freedom to have a huge Microsoft position and not worry about it. Having something like a Berkshire in your portfolio or having a S&P 500 in your portfolio when you are wealthy is a very comforting place to be.

Arya: Hello, I am Arya. I traveled from San Francisco. Mohnish, I learn a great deal from watching your videos, just hearing you implement certain strategies. My question is, how do you deal with psychology? Let us say that your investment is not performing for 10 plus years. You gave the example of Microsoft, which did nothing for 15+ years. As an investor, what would you be looking for that would distinguish Microsoft in that instance from the next IBM or Walmart from the next Kmart or Sears? How do you think about that, and psychologically, are there any hacks that you have developed that helped you?

Mohnish: In the case of Microsoft, it was simple. The business never went into secular decline. It has had a very strong moat while the stock price was going down because it was overvalued. It was very clear with Microsoft that there was no issue with the business itself. The issue with the price at which it was trading was the issue that happened with many companies. Cisco had the same issue. It was trading at a very high valuation. Today, we have a similar situation where

many companies are very dominant, but they are trading at very high multiples. It is relatively simple to separate the ones that are overvalued from the ones that are in decline. Once you can make that separation, then the second piece is, do you take a Steve Ballmer approach to Microsoft, or do you take a Bill Gates approach? I have an investment in Turkey, Reysas, which I have talked about a few times. It used to be very undervalued, and it is still undervalued. From my point of view, it is the easiest position to hold, and the reason for that is that it trades below liquidation value, and there is nothing I can see that suggests the business is in decline. My decision will become more complicated once it gets past the liquidation value. If it gets past reasonable valuations, beyond liquidation value, at that point, the question I would have is, "Since it is a good business, should I keep holding it or should I do something else?" My biases right now would be that if the business itself is not in decline, just leave it alone and let it go. Usually, you can separate the signal from the noise if you just give it some time. Microsoft did have an issue where they had euphoric revenues coming from all the dot-coms that disappeared, but their core business was pretty intact. If I look at the business today, I see a business with some very solid moats. They are just going from strength to strength in their business. Going back to my Forrest Gump story, two or three years back, every Friday night, there used to be a dinner that Charlie Munger hosted. One time, his daughter-in-law pulled me aside and said, "Mohnish, I do not want you to freak out, but I seated you next to Bill Gates for dinner because I know you will not ask him for anything." I said, "Yes, that is the furthest thing from my mind. I am not going to ask him for it." Forrest Gump got seated next to Bill for two and a half hours. I said, "Bill, can we play a game? I will name a stock and you tell me whether you are going long, short, or neutral." He said, "Yes, sure." I rattled off a whole bunch of tech names, and he was very quickly going through, giving me his perspective on what he would do. I came to Apple, and he went into this long narrative where he thought Apple was a very peculiar company. He did not say he would go long; he just said it is a peculiar company because they are, unlike other businesses, which have a lot of resilience. He said everything was one guy. It all emanated from one guy, and the guy is gone. Nothing is emanating since that guy is gone, because they are still running on Steve Jobs' vision. In the end, he said, "I would not go long with Apple." The issue is that when you compare a business like Microsoft to a business like Apple, I would tend to go with Microsoft. The lock they have on us, in my opinion, is much stronger than the lock Apple has. People may disagree with that, but the Microsoft lock is much stronger. That is what makes this a market.

Speaker 7: First of all, thank you so much for coming, especially in person. We really appreciate it. You essentially just talked a lot about how selling is very difficult and how we should not sell too soon but is there any framework in which you decide when to actually exit a business or is there any position where you have had for very long and you regretted not selling it early?

Mohnish: Well, my history has been all selling too soon. If I look at my portfolio, the longest I have held something was probably 8 years which is low. It should be more. We still hopefully have a few more decades of compounding ahead so the idea would be to try to extend it, but I would say that if you look at what I was trying to communicate is that holding something for too long is not what going to hurt you even if you end up with a suboptimal result of when you sell. For example, something goes from 10 to 100 and you keep it and it eventually gets to 30 and you sell it and you say, "Oh, I could have sold 100." But that is not where the game is at. The game is that if something goes from 10 to 500, you keep it. The part that is interesting here is that we can do very well without optimizing and we can do very well while being sloppy. As long as the sloppiness is on the side of inactivity.

Speaker 8: You said you should not sell a great business because it is overvalued. So following up on that, how do you think about the transition from what can cause a great business to become not so great?

Mohnish: There are two parts to that question. The first part is let us say a business is extremely good. There is fair value; overvalued, egregious overvaluation. Let us calibrate a little bit. I am sure we could calibrate more, but let us say there are those three. Fair value, we are perfectly OK, no issues. All are valued also, and we have no issues. The issue that only comes up is egregious. That is the only time when you really need to think about it. My general sense from what I have understood so far, I do not know whether this is the right answer or not is to have a pretty high bar on egregious.

I will give you an example. This company in Turkey does not have an investor deck. They really do not explain their business and they have gone into so many new businesses. I was looking at their history. They go into a new business in which they have no competence and in 5 or 7 years, they are #1 or #2 in the country in that space. Then they are going to do something else that they have no competence in, and they again end up with #1 and #2. I do not know whether I fully understood why that is, but in observing them, what I realized is what I would call an energizer bunny. Buffett says this about Greg Abel and David Sokol. He says "What Greg does, gets done by 10 a.m. I cannot get that done the whole day." He used to say the same thing about David Sokol. What Sokol got done by 9 or 10 in the morning, Warren would say, "I would not get done for the whole day." We do not have these linear relationships with different humans. You see some humans who are so off the charts. We have someone among us who is not even human, Elon. You guys think he is human, but he is not. He is not part of our species. How can someone from our species operate like that? These things are off the curve. Elon is a great example of what is the edge of his competency. I would not want to bet on what the edge of his competency is. That does not exist. This notion of egregious or evaluation may not apply to managers like Elon. Just because of what they are able to do, which we cannot even comprehend. That bar in my mind needs to be high. We will get tested on this.

I noticed how that Reysas guy goes about it and the way he steps on the accelerator. It gets way more done than what most other people would get done. I do not know how to quantify that. I also do not know enough to know what the boundaries of that are. My take is that the good news right now is that I do not have to worry about it, as is undervalued, easy. When it gets to fair value, that is also easy. Gets overvalued, that is also easy. If it goes to the 20 billion market cap or something, way before that, I would be getting uneasy. I would be thinking, "What is going on here." If we do not have a business decline, we need to be careful about trying to really understand all we can about the manager and the business and all of that now. We also have to understand, like Gates was saying, "In the end, everything is a zero." It is just the nature of things that everything ends up going to zero. If there is a business decline, and with a business decline, we have to separate the signal from the noise. It is very important to separate signals from noise, but if it is, secular business decline, you have to get off the bus as soon as possible. You have to watch that carefully, but it is a tough thing because, on the one hand, you cannot have it on a hair trigger. And on the other hand, you have to have clarity about what is signal and what is noise.

Speaker 9: One of the notable things about your presentation was, I guess, how many of the structural winners were American thoughts, and then you talk about racism at the end, and I was wondering whether you thought anything about the fact that it is in Turkey and whether there is something about the American system that contributes to companies becoming successful. It gives you pause about investing internationally.

Mohnish: You would find great winners everywhere. That is an easy thing to even test for. You can go into different markets, and you can go back in history and say which ones have been 100 eggs or 200 eggs or 300 eggs in 1020 years and you would find them. There are lots of examples of that in India, for example, HDFC Bank, Asian Paints, and a lot of companies that have done extremely well. Those exist everywhere. The US is a very deep market; one of the largest markets, and free market capitalism. There are a lot of things that are going for it, but you can find those examples everywhere. That was not by design. I did not spend a lot of thought trying to be politically correct about being inclusive. I just went through and picked a few examples.

Speaker 10: Thank you very much for being here. One thing that I thought was notable from some of the pre-reading I did was your kind of thought on specializing within a sector and saying, "Oh, I do not want to necessarily know what the greatest businesses within the sector are." I just want to know about what the greatest businesses are, and I am curious about how that informs your idea generation process. If it really brings certain themes that you find interesting in the moment or what ends up getting expressed.

Mohnish: That is a great question. When we all start, we have a small circle of competence; just the nature of our life experiences, and when we are young,

we are not going to know a lot about a lot of things. Buffett also says that we do not need to have some kind of structured program to expand our circle. The Charlie Munger quote you use, is, "You are reading everything in sight. Over time, your circle of competence is going to grow, especially when you make mistakes. That will make it grow very fast." The circle is going to expand over time. But I also feel that it is important to understand that the most successful humans have very narrow circles. We go past investing and we look at entrepreneurs, they tend to be very narrow. The founder of Zara, for example, has got LVMH and so on. They are very good at what they do, but they are not everything about everything. As investors, it is always better to have the focus to be an inch wide and 1-mile-deep than to be a mile wide and 1 inch deep. Our focus should be to get really good at what we know. There is a lot of peripheral stuff that we do not know, but over time that will come in.

Charlie used to talk about his friend, John Arrillaga who is a multibillionaire who passed away. His daughter is married to Mark Anderson. John Arrillaga in his whole life only invested in real estate within 2 miles of the Stanford campus. He never did anything else. If you walked with him around Stanford, he could tell you the history of every building. He could tell you what the rents were, what they could be bought for. He was sitting very under-leveraged, and when the downturns came, he picked up a bunch of stuff and then sat there and then again very under-leveraged next downturn picked up more stuff and just kept going at it. He had a very narrow circle of competence. It was not even real estate. It was not even California real estate. It was not even Northern California real estate. It was just very narrow, but he was very successful and in investing, that type of depth can be really useful. I am always interested in going deeper versus wider. That is the way I would suggest.

Speaker 11: I want to go back to the Turkey example. You are new to this concept, let us say doing business within Turkey. You have different experiences. You are meeting this wonderful company that has such a big gap between fundamentals and marketing. If I were you, tons of red flags would come up and I would say that it does not make sense, but you continue to push forward instead with the management, and I am happy with that. Why were you doing that? Can you take us to the mental model? I do not understand fully, but I am willing to continue because a lot of people probably will step back in that case.

Mohnish: There were a couple of things. One is, I could not put much in. It was going to be 1, 1.5% of what I was managing. First of all, even if I wanted to, this was not going to be a big bet because of the size of the bet. The second is that when I went through the list of things, what I was going through in my head was one of the things that was very important to me in Turkey I wanted to make bets where the currency and the inflation were irrelevant. Every bet I looked at in Turkey, I said, "If inflation is 1,000% a year, the currency declined by 95% a year, what happens to my bank?" There were a few bets that I could have made where if those were true, we would still do very well. A warehouse is a land, cement, steel, and concrete. That is what a warehouse is. All of those are

inflation indexes. If we have crazy inflation, then the price of steel, land, and rents are going to go up. In fact, in the last 6 years, we saw crazy inflation; crazy everything actually. Their contracts were inflation-indexed, and the contracts are not even that great because they get indexed based on the official rate which is understated. They are not able to increase rents even at the rate of inflation. The bet has still worked. The entire portfolio is sitting at below-market rents. If they were to release the whole thing today, the income would almost double. Even with that lag, it still worked because these factors were more relevant. There is another bet we made in Turkey which in the end we will end up making more money because I could make a full bet there.

We were able to put 100 million in the other bet which is airports; TAV airports. Almost all their revenues are in euros or dollars. The top line is not coming in lira. They pay their employees in lira, so they actually are a huge beneficiary. The employees get poorer every year because the wages are not going up at the same rate of inflation. They actually have a tailwind. Airports were sitting very cheap, so we were able to put more capital. At the end of the day, just in terms of raw dollars, we probably make more there. What I was clearly seeing in Turkey was extreme panic and I remember that when we were buying Razer Templeton funds, there was a mass exodus happening. The foreign investors were all leaving. The door was not big enough for them to leave. Templeton Funds had a 5% position in Razer, which they sold to me for $1 million. They probably knew better than me what that position was worth, but some guy in New York said they should exit Turkey. That is what they were doing. It did not matter what the evaluations were. I did not see a lot of issues with that investment, partially because of the bet size and also because of the simple nature of the bet.

Speaker 12: Thanks for your time making this. My question is what is your filter process? Which ideas do you want to spend more time on, specifically the coal mining industry? How do you figure out that you want to spend more time in this industry and then decide to concentrate on investing in this industry?

Mohnish: I like your approach, which is to forget all the nonsense about the past. Can we talk about stock tips? Is that where we want to go here? Well, actually the thing is I am opportunistic. I do not know what I will be investing in. A year from now or 2 years from now I would not have forecasted that I would have made a bet in the coal industry two years ago. I would not have guessed that, but things show up on the radar. They sometimes make sense. The thing is that you try to do things where things hit you on the head like a 2 by 4 where it seems very obvious. Even when it seems very obvious, you will still not be right many times. The good news about this business like you saw with Buffett's example of 4%, is it is a very forgiving business. We also saw with the Nifty 50, l98% error rate but you still do OK. We do not need to always be right about everything and we are not going to always be right. Just because when we are looking at businesses, we are looking at where they will be in 1, 2, 5, 7 years from now.

That can get very murky. There are too many variables that can come in that can affect it.

The thinking I had on the coal business was relatively straightforward. In order to have a civilization, humans need iron and steel. We cannot really have a civilization without iron and steel. The way iron and steel are made, most of it needs to be made in a blast furnace. If you make iron and steel in an electric furnace, that is usually made out of recycled steel and usually you will not get the highest quality of steel coming out of that. You also need a lot of recycled steel, which, places like India, do not have because they are just growing so much. The one assumption is that it is difficult to change some of these processes. It is difficult to change how iron and steel are made. If it is correct that 30 years from now or 50 years from now iron and steel will still be produced in blast furnaces, then for every ton of steel produced, you need 0.7 tons of metallurgical coal. Metallurgical coal only exists in very few places around the planet; just a few geographies. Coal is a four-letter word, nobody wants to open a coal mine and when one gets closed, it is difficult to get it restarted. We had a situation in 2023 where we had a bunch of coal companies, metallurgical coal companies which had no debt. A mining company with no debt is an oxymoron. That just does not exist, but they had made so much money in 2022 with the Ukraine war; supernormal profits that they wiped out all the debt on the balance sheets and became debt-free. We have these debt-free companies. If you have a business that is going to produce cash flow for let us say 50 years that cash flow will vary between maybe 0 to 100 million a year on the low end to maybe a couple of billion a year on the high end. The market cap is 2 billion. Where do I sign? That is the bet. If we buy a business for 2 billion and we just sit and go to sleep, let us wake up in 20 years and see what happens.

Speaker 13: The stats you showed on Buffett's 4%, that is really interesting. My takeaway from that is, it is really hard to know what your great decisions are. Knowing that, how do you think about just sizing those decisions that you make in your portfolio?

Mohnish: Warren only knew Ajit was great 20 years later. You are not going to know that either. If God does not know that, then we are not going to know that for sure. But, that is why we have a portfolio. We do not need to have 2 of everything like Noah, but what we can do is, if you have 10 or 15 bets, what is going to happen is that if you have done the work and you have got maybe 1 or 2 winners, it is going to become obvious. You only learn a business after you own it. You may do all the work you want, but you are really going to get your education on business after you own it, and you get a really good education when it drops 50%. That is when you truly understand the business. The bottom line is we make these bets, we think they are all great, and then we realize they are not all great. Some of them are great, and then we try to hang on to those. If it makes sense. That is the way it is. There is no easy way to improve on that. If you look at a business like Amazon, Bezos's approach has been a lot of small

bets; a lot of stuff thrown up against the wall. Very high failure rate and very rapid innovation. That works, because if a bet does not work, it is irrelevant; it does not matter. It is the ones that work that cannot drive it.

Speaker 14: One of your main points during the presentation was that you should never sell a high-quality business because it is overvalued even if it is 95% of your part. If you take the longer approach of converting that, why wouldn't you today be finding the highest quality business you can and then investing 95% of your net worth into it regardless of the evaluation? That does not seem a low risk, an appropriately risked approach. But isn't that the same as deciding the inverse?

Mohnish: Well, the one issue is that if you bought something and it was 5% of your portfolio and then it became 95%, you are now rich. But if you just start with the 95% in the best business, how are we going to get rich? We just talked about how we cannot tell in advance which ones are going to do well. What you are doing is you are taking yesterday's winner. You are putting everything into yesterday's winner and saying that yesterday's winner is going to be tomorrow's winner. That is effectively what you are saying. What I am saying is we know that Amazon is great and we put everything into Amazon today. It could work. The way I am wired, I would not be able to make that bet because I would not be able to get the conviction. It would be easier for someone like me with my wiring to go and make 10 or 15 bets where each one looks undervalued, looks like a good business, and looks like all the pieces are in place. And then let it play out.

Speaker 14: But even if you are saying why to have that conviction and you built your wealth with that one position, does it still make sense to follow that approach? Take the example that Frank invested $100,000 into Amazon 20 years ago and now he has $10 million and I am investing in Amazon today and I have $10 million. We are both kind of at a single point in time putting $10 million into Amazon. He is saying that would be an optimal strategy for Frank because he has the conviction.

Mohnish: Well, I prefer the Nick Sleep approach where I do not have one bet. The Walton family took the approach of one bet. Nick took the approach of three bets, and one of those three bets effectively is an index kind of bet. For example, Berkshire is an S&P-type bet. It is very difficult to see something like Berkshire, but if let us say Frank has 10 million and let us say Frank has 5 million in the S&P 500 and 5 million on Amazon, and he goes to sleep, that is fine. He is not going to go back to zero. Like Munger says, “I do not want to go back to go again.” I have been a go. I know what go feels like. I do not want to go back to go again. In his case, the 5 million each is a very comfortable situation to be in because no matter what happens, he is fine. He has still got the 2nd 5 million if something happens to Amazon. Now I need to have a lot of conviction in Amazon, whereas he does not. Whatever happens to Amazon is irrelevant to him, but it will be very relevant to you. What I would say is that having all the eggs in one basket is a little extreme; for me, at least. The Waltons have done

that. Many people have done that. Elon is doing that to some extent though he is trying to spread it out a little bit. If you just change it from one bet to maybe 2 bets, where the second bet is a little bit more resilient like a book or an S&P, then you can totally relax. But some people can be totally relaxed like the Walton family with a single bet because they maybe have an understanding of Walmart that goes way beyond what I can understand. But these are valid questions. I am not sure I am giving you the right answer, but just telling you what I can process.

Speaker 15: Another way of putting that question is that Frank puts $100,000 in that stock. Amazon is one of them. He sleeps for 30 years. It is now 95% of the portfolio. Shouldn't he look for another 10 stocks and sleep for another 20 years?

Mohnish: Rebalance the portfolio. The title of the presentation was "*We only need to get rich once*." We are already rich. He does not want to work anymore. He just wants to lay back and relax. I am just playing devil's advocate. What I am just trying to say is that if I look at Berkshire or any of these successful entrepreneurs, in the end, you end up concentrated. What you are saying is let us now restart. We have run this thing through. Let us redo it. Let us play the game for another 20 years. With new bets that can be very valued that can work out, but we also have a couple of things to keep in mind. One is we have finite lifetimes. At some point we pass away or whatever else it may take you 20, 30, 40 years to get to that point. If you are focused on staying rich, then I do not know how much sense it would make to take the whole thing and make 10 more bets. If you buy into the law 95% of what you think is going to do extremely well is not going to do well, and you already have one goose that is laying a lot of golden eggs. Why kill the goose? The next goose may not lay any eggs. But, nothing ventured, nothing gained. How do you work? How do you not get bored? We need to be really good and happy watching the paint dry. Can you be excited about watching paint dry for 20 years that is a beautiful skill to have. A couple of weeks back I was at the Bridge National Championships in Memphis, where all these nutcase bridge players are going all in for points. It is not even dollars for points, I do not know why they get excited about points, but they are all super excited about points. We can find other ways to use the brain power. Munger says that it is a really good thing that Buffett played bridge because if he had put that time into Berkshire, it would have had a negative impact. One of the issues with investing is everyone in this room except me has too much brain power. Like Warren says, "You can give away 50 IQ points and your results are not going to change. They might even get better." It is a very important skill to build. As Pascal said, "All man's miseries stem from his inability to sit alone in a room and do nothing." Actually, Pascal misspoke. What he actually meant was all investor miseries stem from the inability to sit quietly in a room and do nothing. You have to be able to go through several decades of no activity. Can you do that?

Speaker 15: No, I cannot do that. It is the most important thing to learn.

Mohnish: There is a very easy hack which is just to find something else you are excited about that does not involve dollars or money or investing or anything. You can become a bridge player, you can become a golf player, you can go race F1 cars, whatever. Find something else; a second activity that is going to suck up all the time so that you will live an exciting life with the portfolio not being touched. Nick Sleep actually is in Nirvana. That is where we have to get you to. We have to get you to nirvana before you enter the real world.

Speaker 16: Thank you so much for sharing, I really appreciate the humor inside your speech and also the wisdom shared. I found the Coca-Cola charts very intriguing. Coca-Cola is a quality business, but some part of the stock growth is also attributed to the series of QEs the market experienced after the financial crisis. With the current economic condition and at that level, the next QE probably is not on the near horizon. Do you think it is a change of foundation of the market conditions and how do you suggest us to navigate this new environment?

Mohnish: Coke is a very complicated business. It looks simple. But it is actually very complicated. There is a talk Charlie Munger gave on Coke. The way to think about Coke is the percentage market share. We need around 64 ounces of fluids per day to stay alive and some portion of that needs to be flavored so that we do not get bored. If you have only water, that would not last more than 2 days, so some portion needs to be flavored. Then the thing is that there is a distribution engine that Coke has that gets that flavored drinks to several billion humans at a cost that almost no other company can do. When we think of Coke, we immediately go to sugar and those sorts of things, but it is really a flavored water delivery mechanism. Flavored water delivery mechanisms do not need to be unhealthy. It can be anything. You can pump anything through that pipe. Rebuilding that pipe by somebody else is very hard, very expensive, and unlikely to happen. What Coke can do is they just can look around and say, "Oh, Gatorade looks good. Let us just buy Gatorade and send it through the pipe." They do not need to actually come up with the stuff that needs to go through the pipe.

The point is, a business like Coke to me is more resilient than a business like Microsoft for that reason because of that pipe and because unless humans stop needing that amount of liquid, that equation stays. Even though you have got other players, there are only 2 or 3 players in the world that have enough bandwidth and enough cost advantage on that pipe. The way I look at it with Warren and Charlie is that in the late 80s, they cracked the fundamentals of what Coke was and of course, they had a huge run-up. They made a lot of money in the next 10, to 12 years on Coke, and they did not make so much money for a while, but again you only need to get rich once. If you have something like that in your portfolio, do not try to optimize. There is a podcast called *The Founders Podcast*. I do not know if you guys listen to it. I tend to overdose on it. I have listened to more than 100 episodes so far, but he keeps putting out more. I was listening to the one with Harriet Green. Her father was very successful and wealthy. He did not want a daughter. He wanted a son. He

wanted to transfer his business acumen to a son, but Harriet lived maybe more than 100 years ago. Anyway, he ended up with Harriet being his only heir, so he was forced to teach her business. He explained to her how to do well. But when he passed away, she was really pissed off when he passed away. Even though she was super smart and ended up being 10x better than the father ever was, in his will he said he gave the entire family fortune to her, but he put it in a trust. He made the trustees a few men, not her, who would control how the trust was invested and all Harriet was getting was the income from the trust. If he left her 10 million, she was getting like $500,000-600,000 a year. From that stream of the little bit of money coming out, she blew past the principal by a huge factor; she really went way beyond. The idea is that you can have Coke and you can think like Harriet. For your benefit, we can give you the dividend of Coke to go have fun with. How is that? Then we can do it like Harriet. You can go all out on the dividend, and leave the principal, and that can work too because Harriet proved it can be done. She is so rich now.

Speaker 17: My Amazon position, you said never to sell a great business just on valuation. I thought about hedging it. It is at 50 times and maybe keeps on going, even better than it can, so let me buy some bets and then I would rather lose X amount of bets than sell the stock and have it keep going up.

Mohnish: Yes, it is possible. The issue with hedging is that hedges are not perfect. They can be expensive. They expire and you have to redo it. If it were me, I would focus more on using that resource and horsepower for something else, but it could work and that might be OK. But like I said, my next sleep is a gold standard, no hedging, no nothing. He has 3 of them. He has 200 million; it is 60, 70 million in each one. He does not need more than 10,20 million to have a good life. He is giving it all to charity anyway. Why try to get cute? All this falls into the cuteness category, like buying ASOS, which was getting cute.

Speaker 18: I guess with coal like you went top down, you like the sector and then you pick the companies you wanted. With Turkey, you like the country you pick what you want. Do you ever go bottom up or are you just like a top down?

Mohnish: I am not top down. I usually started the business. Coal has been interesting because in 2 years, as my understanding grew, I spent 15 days in the coal mines last year. It was an orgasmic experience. Coal miners are the best people to hang out with; they are awesome people. But as my competency grew in coal, I found myself shifting (which company to which) and I finally got it nailed. It took a couple of years to get that kind of head screwed on right about which one. But in general, if you are investing in a commodity business, if you are investing in a mining company, for example, the low-cost producer is going to win, so you have to make sure there is no leverage because then you get to play your hand out. You have to make sure that you are the best management team and lowest cost, and the lowest cost producer will always be. It is not that hard to figure out which ones those are and then go to sleep.

Speaker 19: You spoke about yesterday's winners and you said that you are wired to not bet on them. Going back to the Walmart example, from 1970 to 1990, I am assuming at 1990 it looked like yesterday's winner, but even if you invested in 1990 and you rolled it forward to 2025, how do you sort of take a bet on the durability of a great business?

Mohnish: You have a very valid point, and he has a very valid point in the sense that Amazon could very well be in its infancy today. We may look back in 30 years and say, "Oh, this was a bargain even in 2025." That is entirely possible, in fact, likely. Not even possible. It is likely just because of the way that that business is run.

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